

Amendment No. 2 to SB2470

Bailey
Signature of Sponsor

AMEND Senate Bill No. 2470*

House Bill No. 2334

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 4-3-1303, is amended by deleting the section and substituting:

The department of commerce and insurance is organized under four (4) divisions, as follows:

- (1) The division of commerce and insurance;
- (2) The division of fire prevention;
- (3) The division of regulatory boards; and
- (4) The division of mechanical safety compliance.

SECTION 2. Tennessee Code Annotated, Section 4-29-249(a)(17), is amended by deleting the subdivision.

SECTION 3. Tennessee Code Annotated, Section 4-29-249(a)(6), is amended by deleting the subdivision.

SECTION 4. Tennessee Code Annotated, Title 68, Chapter 121, is amended by deleting the chapter and substituting:

68-121-101. Short title.

This chapter is known and may be cited as the "Elevator and Amusement Device Safety Act."

68-121-102. Chapter definitions.

As used in this chapter, unless the context otherwise requires:

(1) "Aerial passenger tramways" means recreational transportation of passengers on devices that are referred to by the following names:

(A) **Reversible aerial tramways.**

(i) That class of aerial passenger tramways and lifts in which the passengers are transported in carriers and are not in contact with the ground or snow surface, and in which the carriers reciprocate between terminals;

(ii) **Single-reversible tramways.** That type of reversible aerial tramway that has a single carrier, or single group of carriers, that moves back and forth between terminals on a single path of travel, and is sometimes called a "to-and-fro" aerial tramway; and

(iii) **Double-reversible tramways.** That type of reversible aerial tramway that has two (2) carriers, or two (2) groups of carriers, that oscillate back and forth between terminals on two (2) paths of travel and is sometimes called a "jig-back" tramway;

(B) **Aerial lifts and ski mobiles.**

(i) That class of aerial passenger tramways and lifts in which the passengers are transported in carriers and are not in contact with the ground or snow surface and in which the carriers circulate around a closed system and are activated by a wire rope or chain. The carriers usually make U-turns in the terminals and move along generally parallel and opposing paths of travel. The carriers may be open or enclosed cabins, cars, or platforms. The carriers may be fixed or detachable;

(ii) **Gondola lifts.** That type of lift where the passengers are transported in open or enclosed cabins. The passengers

embark and disembark while the carriers are stationary or moving slowly under a controlled arrangement;

(iii) **Chair lifts.** That type of lift where the passengers are transported in chairs, either open or partially enclosed;

(iv) **Ski mobiles.** That type of lift where the passengers are transported in open or enclosed cars that ride on a rigid structural system and are propelled by a wire rope or chain; and

(v) **Similar equipment.** Lifts that utilize carrier configurations not specified in subdivision (1)(B)(ii), (1)(B)(iii), or (1)(B)(iv), but do not require that the passenger remain in contact with the ground or snow surface;

(C) **Surface lifts.**

(i) That class of conveyance where the passengers are propelled by means of a circulating overhead wire rope while remaining in contact with the ground or snow surface.

Transportation is limited to one (1) direction. Connection between the passengers and the wire rope is by means of a device attached to and circulating with the haul rope known as a "towing outfit";

(ii) **T-bar lifts.** That type of lift where the device between the haul rope and passengers forms the shape of an inverted "T," propelling passengers located on both sides of the stem of the "T";

(iii) **J-bar lifts.** That type of lift where the device between the haul rope and passenger is in the general form of a "J," propelling a single passenger located on the one (1) side of the stem of the "J";

(iv) **Platter lifts.** That type of lift where the device between the haul rope and passenger is a single stem with a platter or disc attached to the lower end of the stem, propelling the passenger astride the stem of the platter, or disc; and

(v) **Similar equipment.** Lifts that utilize towing device configurations not specified in subdivision (1)(C)(ii), (1)(C)(iii), or (1)(C)(iv), but require that passengers remain in contact with the ground or snow surface, and conform to the general description of this subdivision (1); and

(D) **Tows.**

(i) That class of conveyance where the passengers grasp the circulating haul rope, a handle attached to the circulating haul rope, or attach a gripping device to the circulating haul rope and are propelled by the circulating haul rope. The passengers remain in contact with the ground or snow surface. The upward-traveling haul rope remains adjacent to the uphill track of the passengers and at an elevation that permits them to maintain their grasp on the haul rope, handle, or gripping device throughout that portion of the tow length that is designed to be traveled;

(ii) **Fiber rope tow.** A tow having a fiber, natural, or synthetic haul rope; and

(iii) **Wire rope tow.** A tow having a metallic haul rope;

(2) "Alteration" means any change or addition to the equipment other than ordinary repairs or replacement;

(3) "Amusement device":

(A) Means any mechanical or structural device that carries or conveys a person, or that permits a person to walk along, around, or over

a fixed or restricted route or course or within a defined area, including the entrances and exits to the device, for the purpose of giving persons amusement, pleasure, thrills, or excitement;

(B) Includes, but is not limited to:

(i) Roller coasters, Ferris wheels, merry-go-rounds, glasshouses, and walk-through dark houses;

(ii) Any dry slide over twenty feet (20') in height, excluding water slides; and

(iii) Any portable tram, open car, or combination of open cars or wagons pulled by a tractor or other motorized device, except hay rides, those used solely for transporting patrons to and from parking areas, or those used for guided or educational tours, but that do not necessarily follow a fixed or restricted course; and

(C) Does not include the following:

(i) Devices operated on a river, lake, or any other natural body of water;

(ii) Wave pools;

(iii) Roller skating rinks;

(iv) Ice skating rinks;

(v) Skateboard ramps or courses;

(vi) Mechanical bulls;

(vii) Buildings or concourses used in laser games;

(viii) All-terrain vehicles;

(ix) Motorcycles;

(x) Bicycles;

(xi) Mopeds;

(xii) Go-karts;

(xiii) Bungee cord or similar elastic device;

(xiv) An amusement device that is owned and operated by a nonprofit religious, educational, or charitable institution or association, if the device is located within a building subject to inspection by the state or by any political subdivision of this state under its building, fire, electrical, and related public safety ordinances;

(xv) An amusement device that attaches to an animal so that while being ridden, the path of the animal is on a fixed or restricted path;

(xvi) Climbing walls; and

(xvii) Seasonal haunted houses that are open no more than three (3) months in a calendar year;

(4) "Commissioner" means the commissioner of commerce and insurance;

(5) "Complete elevator, dumbwaiter, or escalator" means any elevator, dumbwaiter, or escalator for which the plans and specifications and the application for the construction permit required by § 68-121-108 are filed on or after the effective date of the application of the rules promulgated by the division as provided in § 68-121-103. All other elevators, dumbwaiters, and escalators are deemed to be existing installations;

(6) "Department" means the department of commerce and insurance;

(7) "Division" means the division of mechanical safety compliance, created by § 4-3-1303;

(8) "Dormant elevator, dumbwaiter, or escalator" means an elevator or dumbwaiter whose cables have been removed, whose car and counterweight rest at the bottom of the shaftway, and whose shaftway doors are permanently

boarded up or barricaded on the inside, or an escalator whose main power feed lines have been disconnected;

(9) "Dumbwaiter" means a hoisting and lowering mechanism equipped with a car that moves in guides in a substantially vertical direction, the floor area of which does not exceed nine square feet (9 sq. ft.), whose total compartment height does not exceed four feet (4'), the capacity of which does not exceed five hundred pounds (500 lbs.), and that is used exclusively for carrying freight.

"Dumbwaiter" does not include a dormant dumbwaiter;

(10) "Elevator" means a hoisting and lowering mechanism equipped with a car or platform that moves in guides in a substantially vertical direction and that serves two (2) or more floors of a building, including stairway-inclined lifts and platform lifts, for transportation of handicapped persons;

(11) "Escalator" means a moving inclined continuous stairway or runway used for raising or lowering passengers;

(12) "Freight elevator" means an elevator used primarily for carrying freight and on which only the operator and the persons necessary for loading and unloading are permitted to ride;

(13) "Moving walks" means a moving runway for transporting passengers, where the passenger transporting surface remains parallel to its direction of motion and is uninterrupted;

(14) "Operator" means a person or the agent of a person who owns or controls, or has the duty to control, the operation of an amusement device or related electrical equipment;

(15) "Owner" means a person that owns, leases, controls, or manages the operations of an amusement device and may include this state or any political subdivision of this state;

(16) "Passenger elevator" means an elevator that is used to carry persons other than the operator and persons necessary for loading and unloading;

(17) "Qualified inspector" means any person who is:

(A) Found by the commissioner to possess the requisite training and experience in respect to amusement devices to perform competently the inspections required by this chapter;

(B) Certified by the National Association of Amusement Ride Safety Officials (NAARSO) to have and maintain at least a level one (1) certification;

(C) Is a member of, and certified by, the Amusement Industry Manufacturing and Suppliers (AIMS); or

(D) Is a member of, and certified by, the Association for Challenge Course Technology (ACCT);

(18) "Related electrical equipment" means any electrical apparatus or wiring used in connection with amusement devices;

(19) "Safety rules" means the rules governing rider conduct on an amusement device pursuant to § 68-121-124;

(20) "Serious incident" means any single incident where any person is immediately transported to a licensed off-site medical care facility for treatment of an injury as a result of being on, or the operation of, the amusement device; and

(21) "Serious physical injury" means a patron's personal injury immediately reported to the owner or operator as occurring on an amusement device and that results in death, dismemberment, significant disfigurement, or other significant injury that requires immediate in-patient admission and twenty-four-hour hospitalization under the care of a licensed physician for other than medical observation.

68-121-103. Duties and powers of the division — Rules.

(a) The division shall license elevator inspectors pursuant to this chapter, and shall consult with engineering authorities and organizations studying and developing safety codes, including the American Standards Association. The division shall determine what rules govern the qualifications, training, and duties of elevator operators, the operation, maintenance, construction, alteration, and installation of elevators, dumbwaiters, and escalators, and the inspection of new and existing installations are adequate, reasonable, and necessary to provide for the safety of persons and property, and to protect the public welfare, and upon such determination shall promulgate, amend, or repeal rules:

(1) For the maintenance and operation of all elevators, dumbwaiters, and escalators;

(2) For the construction of new elevators, dumbwaiters, and escalators;

(3) For the alteration of existing elevators, dumbwaiters, and escalators;

(4) Prescribing minimum safety requirements for all existing elevators, dumbwaiters, and escalators; and

(5) Prescribing the fees for construction permits, operating permits, acceptance inspections, initial inspections, and periodic inspections for new and existing elevators, dumbwaiters, and escalators.

(b) All technical issues concerning elevators, dumbwaiters, escalators, aerial passenger tramways, and amusement devices must be reviewed by the division, which shall report findings and recommendations to the commissioner or commissioner's designee for final disposition.

(c) The division is also vested with the duty, power, authority, and responsibility to regulate aerial passenger tramways and moving walks in the same manner as provided in this chapter for elevators, dumbwaiters, and escalators.

(d) Any new technology, as defined in the adopted version of the Elevator Safety Code, adopted pursuant to rules promulgated pursuant to subdivision (a)(4), is authorized for use under this chapter; provided, that such technology meets the latest published standards of the American Society of Mechanical Engineers Safety Code for Elevators and Escalators.

(e) The division has the following powers related to amusement device safety in addition to those related to elevators, dumbwaiters, escalators, and aerial passenger tramways pursuant to subsections (a)-(c):

(1) To consult with engineering authorities and organizations that are studying and developing amusement device safety standards;

(2) To promulgate rules governing the owner's duty of reasonable care for the installation, assembly, disassembly, repair, maintenance, use, testing, operation, and inspection of amusement devices. The division has the authority to adopt a safety code. In promulgating the amusement device safety code of rules, the division may consider any existing or future American Society for Testing and Materials (ASTM) safety standards affecting amusement devices, or any other nationally acceptable standard; and

(3) To make recommendations to the commissioner concerning the division's findings on safety issues related to amusement devices.

(f) Any rules promulgated under this section must be of a reasonable nature, and based upon generally accepted engineering standards, formulas, and practices, and insofar as is practicable and consistent with this chapter, must be uniform with the rules promulgated in other states. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

68-121-104. Powers and duties of department.

(a) Except where otherwise provided, the department shall enforce this chapter and the rules promulgated by the division.

(b) The department shall exercise enforcement over moving walks in the same manner and to the same extent as provided in this chapter for elevators, dumbwaiters, and escalators.

(c) The commissioner shall promulgate rules necessary to administer this chapter, including rules for the reporting of any fatalities or serious physical injuries incurred from the operation of amusement devices, or specifically related electrical equipment, and the subsequent inspection of the amusement devices and related electrical equipment. The rules shall be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(d) The commissioner shall promulgate rules to establish fees. The rules shall be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

68-121-105. Registration of elevators, dumbwaiters, and escalators.

The owner or lessee of every existing elevator, dumbwaiter, and escalator shall register with the department each elevator, dumbwaiter, or escalator owned or operated by such owner or lessee. The owner or lessee shall provide the type, contract load and speed, name of the manufacturer, its location and the purpose for which it is used, and such other information as the department may require as part of the registration, which must be made on a form furnished by the department.

68-121-106. Schedule for inspecting and testing of elevators, dumbwaiters, and escalators — Report of inspections — Failure to file report.

All new, altered, and existing elevators, dumbwaiters, and escalators, except dormant elevators, dumbwaiters, and escalators, must be tested and inspected in accordance with the following schedule:

(1) **Initial inspection test of new or altered installations.** Every new or altered elevator, dumbwaiter, and escalator must be inspected and tested in conformity with the applicable rules promulgated by the division before the

operating permit, required by § 68-121-107, is issued. The inspections and tests must be made under the supervision of an elevator inspector licensed and employed by this state;

(2) **Initial inspection of existing elevators, dumbwaiters, and escalators.** The owner or lessee of every existing passenger elevator or escalator shall cause such passenger elevator or escalator to be inspected within three (3) months, and the owner or lessee of every existing freight elevator or dumbwaiter shall cause such freight elevator or dumbwaiter to be inspected within six (6) months after the effective date of the rules promulgated by the division under § 68-121-103, except that the commissioner may, at the commissioner's discretion, extend the time specified in this subdivision (2) for making such inspections;

(3) **Periodic inspections.** The owner or lessee shall cause an inspection of every passenger elevator, dumbwaiter, escalator, and freight elevator to be made periodically every sixth calendar month, following the month in which the initial inspection required by subdivision (1) or (2) has been made; provided, that, any such inspection of either a passenger elevator, dumbwaiter, escalator, or freight elevator may be made within the first fifteen (15) days of the month following the calendar month during which such inspection is due. The inspections required by subdivisions (2) and (3) must be made only by elevator inspectors who have been licensed in accordance with § 68-121-110;

(4) **Required inspections.** The inspections required by subdivisions (1)-(3) are required inspections;

(5)

(A) **Report of inspections.** A report of every required inspection must be filed with the department by the inspector making the inspection on a form approved by the department within twenty (20) days after the

inspection or test has been completed. For the inspections required by subdivisions (1)-(3), the report must include all information required by the department to determine whether the elevator, dumbwaiter, or escalator is in a safe operating condition and whether the owner or lessee of the elevator or escalator has complied with those rules promulgated by the division under § 68-121-103 that are applicable;

(B) For the inspection required by subdivision (1), the report must indicate whether the elevator, dumbwaiter, or escalator has been installed in accordance with the permit issued by the department, and meets the requirements of the applicable rules promulgated by the division under § 62-121-103;

(6) **Failure to file report of inspection with department.** If the report required by subdivision (5) is not filed with the department within twenty (20) days after the final date when the elevator, dumbwaiter, escalator, or moving walk should have been inspected, as required by subdivisions (2) and (3), then the commissioner shall designate a licensed inspector in the employ of this state to make the inspection and to report to the department. For each such inspection and report made at the direction of the commissioner, the owner or lessee of the elevator, dumbwaiter, escalator, or moving walk shall pay to the department an inspection fee to be charged as adopted by the division under § 68-121-103(a)(5). The fees must be paid directly to the department, must not be paid to the inspector, and is the only fee for which the owner or lessee is liable under this chapter for the inspections required by subdivisions (2) and (3); and

(7) **Additional inspections.** In addition to such required inspections, the commissioner may designate a licensed inspector in the employ of this state to make such additional inspections as may be required to enforce this chapter and the rules promulgated by the division under § 68-121-103.

68-121-107. Operating permits.

(a) It is unlawful to operate any elevator, dumbwaiter, or escalator without a valid operating permit issued in accordance with this section. If an inspection report indicates compliance with this chapter, the commissioner shall issue an operating permit to the owner or lessee of such elevator, dumbwaiter, or escalator; provided, that permits must not be issued if the fees required by § 68-121-106 have not been paid. The operating permit is issued for the period covered by the inspection required by § 68-121-106(1) and (2), must state the contract load and speed for such elevator, dumbwaiter, or escalator, and must be posted conspicuously in the car or cage or in the platform of the elevator and on or near the dumbwaiter or escalator. The operating permit may be extended by endorsement of the commissioner or the commissioner's duly appointed agent after each periodic inspection required by § 68-121-106(3).

(b) If the inspection report required by § 68-121-106 indicates failure of compliance with applicable rules promulgated by the division under § 68-121-103, the commissioner shall give notice to the owner or lessee or the person or persons of changes necessary for compliance with the rules. After the changes have been made, the commissioner shall issue an operating permit. The fee to be charged for the operating permit issued under this chapter must be adopted by the division pursuant to § 68-121-103(a)(5).

(c) If the inspection report required by § 68-121-106 indicates that an elevator or escalator is in an unsafe condition, so that its continued operation may be dangerous to public safety, then the commissioner may, at the commissioner's discretion, require the owner or lessee to discontinue the use of such elevator or escalator until it has been made safe and in conformity with the rules promulgated by the division. If the commissioner has reason to believe that any owner or lessee to whom an operating permit has been issued is not complying with the applicable rules promulgated by the division under § 68-121-103, the commissioner shall so notify the owner or lessee and

shall give notice of a date for a hearing on the noncompliance to the owner or lessee. If, after the hearing, the commissioner finds that the owner or lessee is not complying with the rules, the commissioner shall revoke the permit.

(d) An operating permit is not required for elevators or escalators that are located in a highly restricted area owned and operated by the United States government. A state permit must not be issued for elevators located in municipalities where elevator inspection ordinances are in force in accordance with § 68-121-111, it being the responsibility of such municipalities to make the inspections and collect permit fees within their respective jurisdictions.

68-121-108. Installations, relocations, or alterations — Submission of plans — Fees.

(a) **Plans and specifications.** On and after the effective date of the rules promulgated by the division under § 68-121-103, detailed plans and specifications of each elevator, dumbwaiter, or escalator to be thereafter installed, relocated, or altered must be submitted to the department or its authorized representative, together with an application for a construction permit or form to be furnished or approved by the department or its authorized representative. Repairs or replacements normally necessary for maintenance may be made on existing installations with parts equivalent in material, strength, and design to those replaced, and such repairs or replacements do not require plans, specifications, or application to be filed.

(b) **Construction permits.**

(1) The department or its authorized representatives shall issue a construction permit for every new elevator, dumbwaiter, or escalator installation or alteration before the installation of the elevator, dumbwaiter, or escalator is started. The department or its authorized representative shall issue such permit, if the plans and specifications required under subsection (a) indicate compliance with the applicable rules promulgated by the division under § 68-121-103. If such

plans and specifications indicate failure to comply with the applicable rules promulgated by the division under § 68-121-103, the department or its authorized representative shall give notice to the person filing the application of changes necessary for compliance with the applicable rules.

(2) After such changes have been made, the department or its authorized representative shall issue a construction permit. A permit is not required for the repairs or replacements normally necessary for maintenance.

(c) Fees.

(1) A fee must be paid to the department or its authorized representative for issuing a construction permit required under subsection (b) for each new or altered elevator, dumbwaiter, escalator, or moving walk. The division shall set the construction permit fees by rules promulgated under § 68-121-103(a)(5). The division shall set the fees in an amount sufficient to fund the cost of administering this chapter. Funds remaining in division accounts at the end of any fiscal year do not revert to the general fund but remain available for expenditure in accordance with law.

(2) A fee must be paid to the department or its authorized representative for the issuing of construction permits required by subsection (b) for each new or altered aerial passenger tramway. The division shall set the construction permit fees by rules promulgated under § 68-121-103(a)(5). The division shall set the fees in an amount sufficient to fund the cost of administering this chapter. Funds remaining in division accounts at the end of any fiscal year do not revert to the general fund but remain available for expenditure in accordance with law.

(3) A fee must be paid to the department or its authorized representative for the acceptance inspection and for each unscheduled follow-up inspection following the construction or alteration of an elevator, dumbwaiter, escalator, moving walk, or aerial passenger tramway. The division shall set the acceptance

inspection fees by rules promulgated under § 68-121-103(a)(5). The division shall set the fees in an amount sufficient to fund the cost of administering this chapter. Funds remaining in division accounts at the end of any fiscal year do not revert to the general fund but remain available for expenditure in accordance with law.

68-121-109. Maintenance in safe operating condition.

(a) The owner or lessee shall maintain every elevator, dumbwaiter, and escalator in a safe operating condition so that it conforms to the rules and requirements of the division as promulgated under § 68-121-103.

(b) Every aerial passenger tramway must be maintained by the owner or lessee in a safe operating condition so that it conforms to the rules and requirements of the division as promulgated under §§ 68-121-101, 68-121-103, 68-121-108, and this section.

(c)

(1) As provided in the applicable codes of the American Society of Mechanical Engineers (ASME) as adopted by the division, each elevator must have a means of two-way communication. The code requirement of two-way communication may be satisfied with a dedicated line, a line consolidation technology that enables the simultaneous operation of more than one (1) communication device, or an intercom system where a central answering location is staffed twenty-four (24) hours a day.

(2) If this state chooses to upgrade its two-way communication system in elevators in state facilities, funds in the facilities revolving fund may be used for such upgrade.

**68-121-110. Licensing inspectors — Qualifications — Examinations — Fee —
Revocation of license.**

(a) A person must not be licensed as an elevator inspector to inspect elevators, escalators, or new or altered dumbwaiters, unless the person is an employee of this

state authorized to inspect elevators, escalators, and dumbwaiters, an employee authorized to inspect elevators, escalators, and dumbwaiters for any insurance company insuring such elevators, escalators, and dumbwaiters in this state, or contracted by the division to inspect elevators, escalators, or new or altered dumbwaiters in this state; provided, that the person has satisfied the requirements for licensure established in rules promulgated by the division under § 68-121-103.

(b) If the division has reason to believe that a licensed inspector is no longer qualified to hold such licensed inspector's license, it shall give such inspector reasonable notice of the time and place of a hearing at which the division shall inquire into the inspector's fitness and competency to act as an elevator inspector. If the division finds that such inspector is no longer qualified to act as an elevator inspector, the division shall revoke such inspector's license, and such inspector shall not thereafter make any inspection required under this chapter.

68-121-111. Municipal laws or ordinances unaffected.

This chapter does not replace any municipal law or ordinance in municipalities having regulations controlling the design, construction, location, installation, inspection, and operation of elevators, dumbwaiters, or escalators where such local laws, ordinances, or regulations are in substantial conformity with the commonly accepted standards of safety concerning the design, construction, location, installation, inspection, and operation of elevators, dumbwaiters, or escalators and in substantial conformity with the published standards of the American Standard Safety Code for Elevators, Dumbwaiters, and Escalators. This chapter does not prevent the local officials or boards of such municipalities from the exclusive right to regulate or enforce all such local laws, ordinances, or regulations now in force or hereafter enacted as may comply with the standards defined in this part, and this chapter does not permit the erection of elevators, dumbwaiters, or escalators without first obtaining a building or like permit from the proper municipal authorities in compliance with local laws and ordinances provided here.

68-121-112. Appeals.

(a) Any person aggrieved by an order or act of the commissioner or department under this chapter may, within fifteen (15) days after notice of such order or act, appeal such order or act to the division.

(b) The division shall hear the appeal in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

68-121-113. Violations to be prosecuted.

Prosecutions for violations of this chapter are instituted by the commissioner and are in the form of summary proceedings before a court of competent jurisdiction. Upon conviction after a hearing, the penalties provided for in rule are imposed and are final, subject to appeal to a court of proper jurisdiction in the manner prescribed by law.

68-121-114. Penalties for violations of chapter or permit fee requirements.

(a) The department may promulgate rules to establish a civil penalty schedule for violations of this chapter or of rules promulgated by the division, or for anyone who fails to or neglects to pay the fees as required under this chapter.

(b) Any person, firm, or corporation that violates this chapter or the rules promulgated by the division, or who fails or neglects to pay the fees as required in this chapter, commits a Class C misdemeanor.

(c) Notwithstanding subsection (a) to the contrary, any person who knowingly makes a false statement, representation, or certification in an application, record, report, or other document filed or required to be maintained under this chapter commits a Class A misdemeanor.

68-121-115. Amusement devices — Legislative findings.

(a) The general assembly finds that:

(1) An unsafe amusement device is likely to cause serious and preventable injuries to members of the public; and

(2) For the welfare of the people of this state, these injuries must be prevented, and the public must be protected from unsafe amusement devices.

(b) The purpose of regulating amusement devices is to ensure, as far as reasonably possible, the safety of the public in the use of amusement devices in this state by providing for:

(1) Adoption of safety regulations for the owner's duty of reasonable care;

(2) An effective enforcement and compliance program;

(3) Reporting procedures on the safety of amusement devices; and

(4) Safety provisions governing riders' use of amusement devices.

68-121-116. Violations — Penalties.

(a)

(1) It is an offense, punishable as provided in § 68-121-114, for:

(A) The owner of any amusement device to operate, or permit any person to operate, an amusement device, unless a permit has been issued by the department to the owner of the amusement device, which permit is valid in any and all counties in this state for one (1) year from the date the permit is issued; or

(B) A person to operate an amusement device, if the person:

(i) Has knowledge that the annual permit required, pursuant to subdivision (a)(1)(A), has not been issued to the owner;

(ii) Does not have authority to operate the amusement device; or

(iii) Operates the amusement device beyond the authorization given to the person by the owner.

(2) If the amusement device is not at a fixed location within this state, then the owner of the amusement device is only required to obtain one (1) such annual permit, and the permit must be displayed in a conspicuous location.

(b) The department is authorized to charge a fee, to be set by the department by rule, for the issuance of an annual permit, but the department shall not issue the permit until the owner furnishes to the department proof of insurance for, and proof of inspection of, the amusement device or devices by any authorized insurer, or its designated representative. The proof of insurance must be in an amount set by the department by rule, insuring the owner or operator against liability for bodily injury and property damage arising from the use of the amusement device.

(c)

(1) If the annual permit is issued for an individual amusement device, the permit must be prominently displayed on the amusement device.

(2) If the annual permit is issued for amusement devices to an enterprise that has multiple amusement devices owned or managed by one (1) owner, the permit must be filed at the main office of the site where the amusement devices are located, and must be available for inspection by any public official during the normal business hours of the office and by members of the public during the normal business operating hours of the amusement devices.

(d) The policy or bond required by this section must be on a standardized form approved by the department and obtained from one (1) or more insurers or sureties qualified to do business in this state.

68-121-117. Responsibilities of owner or operator of amusement device — Report of fatalities, physical injuries, or incidents — Inspections — Penalties.

(a) The owner or operator of an amusement device shall immediately cease to operate any amusement device upon which a fatality, serious physical injury, or serious incident has occurred. An owner shall report any accident involving a fatality, serious

physical injury, or serious incident resulting from the operation of an amusement device to the commissioner, in writing, within twenty-four (24) hours and contact a qualified inspector from the list maintained by the commissioner pursuant to § 68-121-118 to conduct an inspection.

(b) The cessation remains in force until an inspection has been performed by a qualified inspector, the inspector has determined that the amusement device or related equipment is safe for public use, and the department has authorized the owner or operator to resume operation of the amusement device.

(c) The qualified inspector shall initiate the inspection within twenty-four (24) hours of receipt of the report of a fatality, serious physical injury, or serious incident caused by the operation of an amusement device and shall perform the inspection in a manner that proceeds with all practicable speed and minimizes the disruption of the remainder of the amusement devices at the site where the amusement device is located, as well as unrelated commercial activities. The owner of the amusement device shall pay for the cost of an inspection. The amusement device may resume operation, upon authorization from the department, immediately following the reasonable determination by a qualified inspector that a principal cause of the serious physical injury was the victim's failure to comply with the posted safety rules or with verbal instructions. If an owner or operator of an amusement device fails to comply with a requirement under this section, then the department must assess a penalty against that owner or operator each day until full compliance is achieved.

68-121-118. Qualified inspectors.

(a) The commissioner shall compile a list of qualified inspectors. The department shall post the list on the website maintained by the department.

(b) The commissioner may employ or contract with qualified inspectors to conduct inspections of amusement devices pursuant to this chapter. However, if the

commissioner does not employ or contract with qualified inspectors, then owners and operators shall provide the commissioner with all resulting inspection reports.

68-121-119. Operation of amusement device — Inspections — Permit.

(a) A person shall not operate an amusement device unless the owner of the amusement device has the device inspected at least once annually by a qualified inspector, who is either provided by the commissioner or whom the owner or insurer has selected from the lists maintained on the department's website pursuant to § 68-121-118, and has obtained written documentation from the qualified inspector that the inspection has been made and the amusement device meets American Society of Testing Materials (ASTM) standards or the Association for Challenge Course Technology (ACCT) industry standards. The owner of the amusement device is solely responsible for the cost of an inspection conducted pursuant to this subsection (a).

(b) The inspection required pursuant to subsection (a) must be conducted, at a minimum, to meet the manufacturer's or engineer's specifications and to follow the applicable ASTM standards or ACCT industry standards.

(c) The commissioner, or the commissioner's designee, may conduct a spot inspection of any amusement device without notice at any time while the amusement device is operating or will be operating in this state. The commissioner's designee may order the temporary suspension of an operating permit if it is determined after a spot inspection that an amusement device or devices are hazardous or unsafe. Operation of the amusement device must not resume until the hazardous or unsafe condition has been corrected and subjected to reinspection by the commissioner, or the commissioner's designee, for an inspection fee established by rule.

(d) An operator of an amusement device must be competent and at least sixteen (16) years of age. An operator shall not operate more than one (1) amusement device at any one (1) time and must be present at all times the device is in operation.

68-121-120. Maintenance, inspection, and accident records for amusement device

— Proof of inspection.

(a) Each owner or operator shall retain on the premises or with a traveling or portable amusement device for at least twenty-four (24) months, all maintenance, inspection, and accident records for each amusement device. The owner shall make the records for the amusement device under inspection for failure or malfunction available to the commissioner upon request. The documents may be kept electronically or digitally.

(b) An owner or operator of an amusement device, as applicable, shall prominently display or have available on location the amusement device's proof of inspection, which must include the date of the last inspection of the amusement device.

68-121-121. Itinerary of traveling or portable amusement devices — Filing and content.

(a) The owner or operator of traveling or portable amusement devices shall file an itinerary with the department on a form prescribed by the commissioner no less than thirty (30) days before the operation of an amusement device for use by the public.

(b) The itinerary must include:

- (1) The name of the amusement device owner;
- (2) The carnival, fair, or activity sponsor;
- (3) The address and telephone number of the owner of the site or persons associated with the site;
- (4) The dates open to the public; and
- (5) The name of the contact person on site.

68-121-122. Operation of amusement device during pendency of cessation — Remedies.

In addition to any other remedies, if an owner, operator, or person in charge of an amusement device continues to operate an amusement device during the pendency of a cessation pursuant to § 68-121-117 or § 68-121-119, then the commissioner may

petition the circuit court, in an action brought in the name of this state, for a writ of injunction to restrain the use of the alleged defective amusement device.

68-121-123. Liability for accidents.

This state and its officers and employees or members of the division are not liable for damages arising out of an accident involving an amusement device by reason of administration of this chapter.

68-121-124. Safety rules governing rider — Violations and penalties — Duty to report injuries — Display of rules.

(a) A rider on an amusement device shall, at a minimum:

(1) Obey the reasonable safety rules posted in accordance with subsection (g) and oral instructions for an amusement device issued by the amusement device's owner or the owner's employee or agent, unless:

(A) The safety rules are contrary to those issued by the division;

or

(B) The oral instructions are contrary to the safety rules; and

(2) Refrain from acting in any manner that may cause or contribute to injuring the rider or others, including:

(A) Interfering with the safe operation of the amusement device;

(B) Not engaging any safety devices that are provided;

(C) Disconnecting or disabling a safety device except at the express instruction of the operator;

(D) Altering or enhancing the intended speed, course, or direction of an amusement device;

(E) Extending arms and legs beyond the carrier or seating area except at the express direction of the amusement device operator;

(F) Throwing, dropping, or expelling an object from or toward an amusement device;

(G) Getting on or off an amusement device except at the designated time and area, if any, at the direction of the amusement device operator, or in an emergency; and

(H) Unreasonably controlling the speed or direction of the rider or an amusement device that requires the rider to control or direct the rider or a device.

(b) A rider of an amusement device shall not get on, enter, or attempt to get on an amusement device unless the rider reasonably determines that, at a minimum, the rider:

(1) Has sufficient knowledge to use, get on, enter, or get off the amusement device safely without instruction or has requested and received before getting on the amusement device sufficient information to get on, use, enter, or get off safely;

(2) Has located, reviewed, and understood any signs in the vicinity of the amusement device and has satisfied any posted height, medical, or other restrictions and abided by all rules, regulations, and restrictions;

(3) Is not under the influence of alcohol or any drug that affects the rider's ability to safely use the amusement device or obey the posted rules or oral instructions; and

(4) Is authorized by the amusement device owner or the owner's authorized servant, agent, or employee to get on the amusement device.

(c)

(1) It is an offense for a person to knowingly violate subsection (a) or (b).

(2) A violation of subdivision (c)(1) is a Class C misdemeanor, punishable by a fine only.

(d) A rider, or the rider's parent or guardian on the rider's behalf, shall report in writing to the owner any injury sustained on an amusement device before leaving the owner's premises, including:

- (1) The name, address, and phone number of the injured person;
- (2) A full description of the incident, the injuries claimed, any treatment received, and the location, date, and time of the injury;
- (3) The cause of the injury, if known; and
- (4) The names, addresses, and phone numbers of any witnesses to the incident.

(e) If the rider, or the rider's parent or guardian on a rider's behalf, is unable to file a report before leaving the owner's premises because of the severity of the rider's injuries, the rider, or the rider's parent or guardian, shall file the report as soon as reasonably possible.

(f) The failure of a rider, or the rider's parent or guardian on a rider's behalf, to report an injury under this section has no effect on the rider's right to commence a civil action.

(g) Safety rules governing rider conduct must be prominently displayed at or near the entrance to, or loading platform for, the amusement device.

68-121-125. Transfer of funds — Relocation and implementation of responsibilities — Reports.

(a) The department of labor and workforce development shall transfer all funds from funds, reserve accounts, and any other source relating to the administration of the elevator and amusement device safety board to the department.

(b) The department of labor and workforce development shall submit and provide access to all relevant information, technical details, specifications, and data required to relocate the responsibilities outlined in this chapter to the department on July 1, 2026.

(c) The department shall complete all work necessary to fully implement and assume all of the responsibilities set forth in this chapter by July 1, 2027.

(d) The department of labor and workforce development shall transfer all employees necessary to properly support the department on July 1, 2027. All transferred employees must be reassigned to the department's office building as of the date of their transfer, or as soon as practicable.

(e) The department may adapt or change all transferred systems, programs, and operational processes as necessary to properly support the department.

68-121-126. Creation of the elevator and amusement device advisory council.

The department may establish an elevator advisory council, an amusement device council, or both, which may convene on an as-needed basis to advise the department on matters related to elevator and amusement device safety. If formed, advisory council members serve at the will of the commissioner.

SECTION 5. Tennessee Code Annotated, Title 68 Chapter 122, is amended by deleting the chapter and substituting:

68-122-101. Short title.

This part is known and may be cited as the "Boiler Installation and Inspection Act."

68-122-102. Rules — Part definitions.

(a) The division shall formulate definitions and promulgate rules for the safe and proper construction, installation, repair, use, and operation of boilers in this state. The definitions and rules so formulated must be based upon, and, at all times, follow the generally accepted nationwide engineering standards, formulae, and practices established and pertaining to boiler construction and safety, and the division may, by resolution, adopt an existing published codification of standards, formulae, and practices known as the Boiler Construction Code of the American Society of Mechanical Engineers, with the amendments and interpretations of the code made and approved by

the council of the society, and may likewise adopt the amendments and interpretations subsequently made and published by the same authority, and when so adopted, the code is deemed incorporated into, and to constitute a part of the whole of the definitions and rules of the division. Amendments and interpretations to the codes are adopted immediately upon being promulgated.

(b) The division shall promulgate rules for the safe and proper installation, repair, use, and operation of boilers that were in use or installed ready for use in this state prior to the date upon which the first rules under this part pertaining to existing installations became effective, or during the twelve-month period immediately thereafter.

(c) The division shall promulgate rules establishing fees and civil penalties authorized by this chapter in amounts sufficient to pay the cost of operating this chapter.

(d) The rules formulated by the division have the force and effect of law, except that the rules applying to the construction of new boilers must not be construed to prevent the installation thereof until twelve (12) months after their approval.

(e) Amendments in the rules promulgated by the division are permissive immediately and are mandatory twelve (12) months after such approval.

(f) As used in this part, unless the context otherwise requires:

(1) "Autoclave" means a device that:

(A) Sterilizes reusable medical or dental equipment used by an individual or entity licensed under this title or title 63;

(B) Consists of an unfired pressure vessel with or without an integrated miniature boiler; and

(C) Is regulated by the United States food and drug administration;

(2) "Boiler" means and includes a closed vessel or vessels intended for use in heating water or other liquids or for generating steam or other vapors under pressure or vacuum by the direct application of heat from combustible

fuels, electricity, or nuclear energy, and also includes an unfired pressure vessel, meaning a vessel in which pressure is obtained from an external source or from an indirect application of heat;

(3) "Commissioner" means the commissioner of commerce and insurance;

(4) "Department" means the department of commerce and insurance; and

(5) "Miniature boiler" means a boiler designed and constructed not to exceed the following:

(A) Sixteen inches (16") inside diameter of shell;

(B) If a non-electric boiler, twenty (20) square feet of heating surface;

(C) Five (5) cubic feet of gross volume, exclusive of the casing and insulation; and

(D) One hundred pounds (100 lbs.) per square inch gauge maximum allowable working pressure.

68-122-103. New installations must conform to rules.

A boiler that does not conform to the rules promulgated by the division that govern new construction and installation must not be installed and operated in this state after twelve (12) months from the date the first rules pertaining to the new construction and installation of boilers become effective, unless the boiler is of special design or construction, and is not covered by the rules, nor is in any way inconsistent with such rules, in which case a special installation and operating permit may be granted, at the discretion of the commissioner.

68-122-104. Existing boilers required to conform — Applicability.

(a) All boilers that were in use, or installed ready for use in this state prior to the date upon which the first rules became effective, or during the twelve-month period

immediately thereafter, must be made to conform to the rules of the division governing existing installations, and the formulae prescribed therein must be used in determining the maximum allowable working pressure for such boilers.

(b) This part does not prevent the use or sale of boilers as referred to in subsection (a); provided, that the boilers have been made to conform to the rules of the division governing existing installations; and provided further, that they have not been found upon inspection to be in an unsafe condition.

(c)

(1) This part does not apply to historic power boilers. As used in this subdivision (c)(1), "historic power boilers" means any steam traction engine, portable, or stationary, standard, or nonstandard power boiler, including free-lance and scale models, owned by publicly operated museums, nonprofit organizations, and individuals who preserve, maintain, exhibit, and only occasionally operate these boilers on a not-for-profit basis, and for the primary purpose of perpetuating the agricultural and pioneer heritage of this state.

(2) Such boilers must conform to the rules promulgated by the division.

68-122-105. Exemptions — Municipal laws or ordinances.

(a) This part does not apply to the following boilers:

(1) Boilers under federal control or boilers that are used to generate electricity under contract with the Tennessee Valley authority (TVA);

(2) Unfired pressure vessels that meet the requirements of the interstate commerce commission for shipment of liquids or gases under pressure;

(3) Air tanks located on vehicles operating under the rules of other state authorities and used for carrying passengers or freight;

(4) Air tanks installed on the right-of-way of railroads and used directly in the operation of trains;

(5) Unfired pressure vessels having a volume of five (5) cubic feet or less;

(6) Unfired pressure vessels designed for working pressure not exceeding fifteen pounds (15 lbs.) per square inch gauge;

(7) Unfired pressure vessels containing liquefied petroleum gases;

(8) Unfired pressure vessels contained within an autoclave; or

(9) Miniature boilers that are integrated as components of medical devices regulated by the United States food and drug administration.

(b) The following boilers are exempt from the requirements of §§ 68-122-110 — 68-122-113:

(1) Boilers located on farms and used solely for agricultural purposes;

(2) Steam boilers used for heating purposes carrying a pressure of not more than fifteen pounds (15 lbs.) per square inch gauge that are located in private residences or in apartment houses of less than six (6) families;

(3) Hot water heating boilers carrying a pressure of not more than thirty pounds (30 lbs.) per square inch gauge that are located in private residences or in apartment houses of less than six (6) families; or

(4) Unfired pressure vessels containing only water under pressure for domestic supply purposes and operated at a temperature of not over two hundred degrees Fahrenheit (200°F), including those containing air, the compression of which serves only as a cushion for airlift pumping systems.

(c)

(1) This part does not replace any municipal law or ordinance in municipalities having regulations controlling the design, construction, location, installation, inspection, and operation of boilers where such local laws, ordinances, or regulations are in substantial conformity with the commonly accepted standards of safety concerning the design, construction, location,

installation, inspection, and operation of boilers and in substantial conformity with the published standards of the Boiler Construction Code of the American Society of Mechanical Engineers. This part does not prevent the local officials or boards of such municipalities from the exclusive right to regulate or enforce all such local laws, ordinances, rules, and regulations now in force or enacted on or after the effective date of this act as may comply with the standards defined in this part. This part does not permit the erection of boilers without first obtaining a building or like permit from the proper municipal authorities in compliance with local laws ordinances, rules, and regulations.

68-122-106. Administration – Duties and powers.

The commissioner, or the commissioner's designee, shall employ, or contract with, persons to effectuate this part, including, but not limited to:

- (1) Prosecute all violators of this part;
- (2) Issue, suspend, or revoke for cause, inspection certificates as provided for in § 68-122-111;
- (3) Draw upon the state treasurer for funds necessary to meet the expenses authorized by this part, which include the necessary traveling expenses of the division and the division's deputies and the expenses incident to the maintenance of the division;
- (4) Take action necessary for the enforcement of the laws of this state governing the use of boilers and of the rules of the division;
- (5) Keep a complete record of the type, dimensions, maximum allowable working pressure, age, condition, location, and date of the last recorded internal inspection of all boilers to which this part applies; and
- (6) Publish and distribute, among manufacturers and others requesting them, copies of the rules promulgated by the division.

68-122-107. Deputy inspectors — Employment — Qualifications.

The commissioner, or the commissioner's designee, shall employ, or contract with, deputy inspectors who are responsible to the commissioner, or the commissioner's designee.

68-122-108. Special inspectors — Appointment — Duties — Right of inspection.

(a) In addition to the deputy boiler inspectors authorized by § 68-122-107, the division may, upon the request of any company authorized to insure against loss from explosion of boilers and unfired pressure vessels in this state, or upon the request of any company operating unfired pressure vessels in this state having a regularly established inspection service maintained by the owner or user of pressure vessels subject to inspection and whose inspection service, personnel, equipment, and supervision meet the requirements prescribed by the division, issue to any inspectors of the company commissions as special inspectors; provided, that each such inspector, prior to receiving the inspector's commission, must satisfactorily pass the examination provided for in § 68-122-109 or, in lieu of the examination, must hold a commission or a certificate of competency as an inspector of boilers and unfired pressure vessels for a state that has a standard of examination substantially equal to that of this state, or a certificate as an inspector of boilers issued by the national board of boiler and pressure vessel inspectors. A commission as a special inspector for a company operating unfired pressure vessels in this state may be issued only if, in addition to meeting the requirements stated in this subsection (a), the inspector is continuously employed by the company for the purpose of making inspections of unfired pressure vessels used, or to be used, by such company, and not for resale. Special inspectors of a company operating unfired pressure vessels, commissioned under this section, are not authorized to inspect boilers.

(b) Such special inspectors receive no salary from, nor are their expenses paid by, this state, and the continuance of a special inspector's commission is conditioned upon the special inspector continuing in the employ of a boiler insurance company duly

authorized as provided for in subsection (a) or upon continuing in the employ of a company operating unfired pressure vessels in this state, and upon the special inspector's maintenance of the standards imposed by this part.

(c) Special inspectors shall inspect all boilers and unfired pressure vessels insured or all unfired pressure vessels operated by their respective companies and, when so inspected, the owners and users of such boilers and unfired pressure vessels are exempt from the payment to this state of the inspection fees.

(d) Each company employing special inspectors shall, within thirty (30) days following each internal and external boiler or unfired pressure vessel inspection made by such inspectors, file a report of the inspection with the division upon appropriate forms as promulgated by the American Society of Mechanical Engineers.

(e) The commissioner, or the commissioner's designee, has free access, during reasonable hours, to any premises in this state where a boiler or unfired pressure vessel is being constructed, or is being installed, for the purpose of ascertaining whether the boiler or unfired pressure vessel is constructed and installed in accordance with this part.

(f) The special inspectors commissioned under this section and their employers, agents, or service contractors have the same liability, as provided in § 9-8-307, for the performance of their services as deputy inspectors authorized under § 68-122-107 or state employees acting within the scope of their employment.

68-122-109. Examinations for Inspectors — Suspension or revocation of commission Replacement when lost.

(a) Examinations for chief, deputy, or special inspectors must be administered by a National Board of Boiler and Pressure Vessel Inspectors' member jurisdiction; the National Board of Boiler and Pressure Vessel Inspectors during the last day of the In-service Commission (IS) two-week course; an on-demand provider approved by the National Board of Boiler and Pressure Vessel Inspectors; or other testing methods approved by the National Board of Boiler and Pressure Vessel Inspectors. The

examinations must meet the requirements of the latest edition of the Rules for Commissioned Inspectors as approved by the National Board of Boiler and Pressure Vessel Inspectors. If an applicant fails to pass an examination, the applicant must follow the re-examination requirements of the latest edition of the Rules for Commissioned Inspectors. The record of an applicant's examination must be accessible to the applicant and the applicant's employer.

(b) A commission may be suspended or revoked after due investigation and recommendation by the division to the commissioner for the incompetence or untrustworthiness of the holder of the commission, or for willful falsification of any matter or statement contained in the applicant's application or in a report of any inspection. A person whose commission has been suspended or revoked, except for untrustworthiness, may apply to the division for reinstatement or, in the case of revocation, for a new examination and commission after ninety (90) days from the revocation. A person whose commission has been suspended or revoked may appeal as provided in § 68-122-114 and be present in person and represented by counsel on the hearing of the appeal.

(c) If a certificate or commission is lost or destroyed, a new certificate or commission must be issued in its place without another examination.

68-122-110. Inspection of boilers.

(a) Each boiler used or proposed to be used within this state, except boilers exempt in § 68-122-105, must be thoroughly inspected as to their construction, installation, condition, and operation as follows:

(1) Power boilers must be inspected annually both internally and externally while not under pressure, and must also, if possible, be inspected externally while under pressure approximately six (6) months following the date of each internal inspection;

(2) Low-pressure heating boilers must be inspected both internally and externally biennially where construction will permit;

(3) Unfired pressure vessels subject to internal corrosion must be inspected both internally and externally biennially where construction will permit, except that the division may, in its discretion, provide for longer periods between inspections; and

(4) Unfired pressure vessels not subject to internal corrosion must be inspected externally at intervals set by the division, but internal inspections are not required of unfired pressure vessels, the contents of which are known to be noncorrosive to the material of which the shell, head, or fittings are constructed, either from the chemical composition of the contents or from evidence that the contents are adequately treated with a corrosion inhibitor; provided, that such vessels are constructed in accordance with the rules of the division or in accordance with standards equivalent to the rules of the division in effect at the time of manufacture.

(b) A grace period of two (2) months longer than the twelve-month period may elapse between internal inspections of a boiler while not under pressure or between external inspections of a boiler while under pressure.

(c) The inspections required in this section are made by the division or by a special inspector provided for in this part.

(d) If at any time a hydrostatic test is deemed necessary, it must be made, at the discretion of the inspector, by the owner or user of the boiler.

(e) All boilers to be installed in this state after the twelve-month period from the date upon which the rules of the division become effective must be inspected during construction as required by the applicable rules of the division by an inspector authorized to inspect boilers in this state, or, if constructed outside of this state, by an inspector holding a certificate from the national board of boiler and pressure vessel

inspectors, or a certificate of competency as an inspector of boilers for a state that has a standard of examination substantially equal to that of this state as provided in § 68-122-109.

(f)

(1) Notwithstanding subsection (a), the division may, in its discretion, grant a variance for longer intervals between inspections. All requests for boiler inspection variances must be submitted to the division in writing.

(2) The division shall produce a guide and checklist setting forth conditions that must be met before a variance for longer intervals between inspections may be granted.

(3) All boilers operating under a variance pursuant to this subsection (f) must be inspected externally while under pressure approximately every six (6) months for the duration of the variance.

(4) Any boiler that fails an external inspection pursuant to subdivision (f)(3), must be shut down and inspected internally, and the variance must be rescinded.

(g) The division may also, in its discretion, grant other variances where the division deems it necessary to protect the health, safety, and welfare of the public.

68-122-111. Inspection certificates — Maximum certificate fees — Insured boilers — Suspension.

(a) If, upon investigation, a boiler is found to comply with the rules of the division, the owner or user of the boiler shall pay directly to the division an appropriate certificate fee as adopted by the division pursuant to § 68-122-102, and the division, or such duly authorized representative, shall issue to such owner or user an inspection certificate bearing the date of inspection and specifying the maximum pressure under which the boiler may be operated. The inspection certificate is valid for not more than twenty-four (24) months, for power boilers, and for not more than twenty-six (26) months, for low-

pressure heating boilers and unfired pressure vessels, from its date of issuance.

Certificates must be posted under glass in the room containing the boiler inspected, or, in the case of a portable boiler, in a metal container to be fastened to the boiler or to be kept in a tool box accompanying the boiler.

(b) An inspection certificate issued for an insured boiler inspected by a special inspector is not valid after the boiler for which it was issued ceases to be insured by a company duly authorized by this state to carry such insurance.

(c) The commissioner or the commissioner's designee may suspend an inspection certificate when, in the commissioner's or the commissioner's designee's opinion, the boiler for which it was issued cannot be operated without menace to public safety, or when the boiler is found not to comply with the rules provided for in this part. A special inspector has corresponding powers with respect to inspection certificates for boilers insured by the company employing the special inspector. The suspension of an inspection certificate continues in effect until the boiler conforms to the rules of the division, and until the inspection certificate has been reinstated.

68-122-112. Operation without certificate or at excessive pressure — Penalty.

It is unlawful for any person, firm, partnership, or corporation to operate a boiler under pressure in this state without a valid inspection certificate. The operation of a boiler without such inspection certificate, or at a pressure exceeding that specified in such inspection certificate, constitutes a Class C misdemeanor on the part of the owner, user, or operator of the boiler. Each day of unlawful operation is a separate offense.

68-122-113. Inspection fees.

The commissioner shall promulgate rules to establish inspection fees in accordance with this part. The rules must be promulgated under the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

68-122-114. Appeals from orders or acts of inspectors.

Any person aggrieved by an order or act of an inspector under this part, may, within fifteen (15) days after notice thereof, appeal from such order or act to the division. The division shall hear the appeal in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

68-122-115. Receipt for fees — Fee increase as penalty — Fee exemptions.

Invoices, receipts for fees, and penalties must be in an amount set by rule as promulgated by the division.

68-122-201. Short title.

This part is known and may be cited as the "Boiler Erectors and Repairers Act."

68-122-202. License required.

Any person, corporation, partnership, or firm engaged in or desiring to engage in the work of repairing or erecting steam boilers, steam kettles, pressure tanks, or steam generators in this state shall obtain a license to perform such work from the division, as created in the department of commerce and insurance by § 4-3-1303.

68-122-203. "Erect" defined for this part.

As used in this part, "erect":

(1) Includes only such steam boilers, steam kettles, pressure tanks, or steam generators as are assembled at the place of installation, and does not include such steam boilers, steam kettles, pressure tanks, or steam generators as are constructed at the place of manufacture and delivered to the place of installation; and

(2) Does not include sectional boilers constructed of cast iron.

68-122-204. Application for license — Examination — Approval — Issuance.

An application for license under this part must be made to the division, and the applicant must pass an examination as prescribed by the division. The applicant must also meet and continue to comply with the minimum qualifications established by the

division and the recommended rules for repairs promulgated by the National Board of Boiler and Pressure Vessel Inspectors.

68-122-205. License fee — Renewal — Fee maximums — Disposition of fees collected — Duty of enforcement.

(a) The commissioner shall promulgate rules to establish initial license and license renewal fees under this part. The rules must be promulgated under the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(b) The licenses received under subsection (a) are valid for one (1) year from the date of issuance unless revoked for cause by the commissioner of commerce and insurance.

(c) All fees under this part must be paid to the department of commerce and insurance and are expendable fees to be used by the department of commerce and insurance in enforcing this part.

68-122-206. Exclusions.

(a) This part does not apply to persons, corporations, partnerships, or firms that are complying with the rules of the interstate commerce commission or to persons, corporations, partnerships, or firms that have their own maintenance personnel who are limited to the lawful erection and repair of their own boiler equipment.

(b) This part does not apply to those persons, corporations, partnerships, or firms engaged in the work of repairing or erecting those types of steam boilers specifically excluded by § 68-122-105.

68-122-207. Local laws not affected.

(a) This part does not replace any municipal law or ordinance that regulates and licenses the repair or erection of steam boilers, steam kettles, pressure tanks, or steam generators. This part does not prevent the local officials or board of such municipalities from the exclusive right to regulate or enforce all such local laws, ordinances, rules, and regulations in effect.

(b) This part does not permit the repair or erection of boilers without first complying with the requirements of the local laws, ordinances, rules, and regulations provided for such repair or erection of boilers.

68-122-208. Penalty for violation.

(a) The department may impose civil penalties for violations of this chapter in an amount to be set by rule.

(b) It is unlawful for any person, corporation, partnership, or firm to engage in the work of repairing or erecting steam boilers, steam kettles, pressure tanks, or steam generators in this state without a valid license as provided under this part.

(c) Any violation of this part is a Class C misdemeanor. Each day of such violation constitutes a separate offense.

(d) This section does not apply to any person repairing such equipment when a licensed repair worker cannot be readily obtained and an emergency exists.

68-122-209. Creation of the boiler advisory council.

The department may establish a boiler advisory council, which may convene on an as-needed basis to advise the department on matters related to boiler safety. If formed, advisory council members serve at the will of the commissioner.

68-122-210. Construction of part.

This part is supplemental to part 1 of this chapter. This part must not be construed as conflicting with part 1 of this chapter.

68-122-211. Transfer of funds — Relocation and implementation of responsibilities — Reports.

(a) The department of labor and workforce development shall transfer all funds from funds, reserve accounts, and any other source relating to the administration of the board of boiler rules to the department.

(b) The department of labor and workforce development shall submit and provide access to all relevant information, technical details, specifications, and data

required to relocate the responsibilities outlined in this chapter to the department on July 1, 2026.

(c) The department shall complete all work necessary to fully implement and assume all of the responsibilities set forth in this chapter by July 1, 2027.

(d) The department of labor and workforce development shall transfer all employees necessary to properly support the department on July 1, 2027. All transferred employees must be reassigned to the department's office building as of the date of their transfer, or as soon as practicable.

(e) The department may adapt or change all transferred systems, programs, and operational processes as necessary to properly support the department.

SECTION 6. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 7. All rules promulgated by the board of boiler rules and the elevator and amusement device safety board, with the assistance and under the authority of the department of labor and workforce development on such boards' behalf prior to July 1, 2026, and in effect on the date that this act becomes a law, remain in full force and effect and must be administered by the division beginning July 1, 2027, until duly amended, repealed, expired, modified, or suspended. Rules promulgated by the board of boiler rules or the elevator and amusement device safety board, with the assistance and under the authority of the department of labor and workforce development on such boards' behalf, that are pending as of July 1, 2026, remain in full force and effect upon their effective date and must be administered by the division beginning July 1, 2027, until duly amended, repealed, expired, modified, or suspended.

SECTION 8. It is the intent of the general assembly that personnel, equipment, funding, duties, authority, and property transferred on the effective date of this act are transferred no later than July 1, 2027.

SECTION 9. For the purposes of promulgating and transferring rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2027, the public welfare requiring it.